

1. CONSTITUTIONAL GATE

- > Art 112: AFS
- > Art 113: grants and charged items
- > Art 114: appropriation
- > Arts 115-117: adjustment and finance laws

2. THREE FUNDS

- > CFI: revenue, borrowing, loan recovery
- > Public Account: trust and repayable balances
- > Contingency Fund: urgent advance
- > Classify ownership and withdrawal rule

3. BUDGET CYCLE

- > prepare -> present -> discuss
- > committee -> grants -> appropriation
- > execute -> account -> audit
- > Parliamentary follow-up closes loop

4. RECEIPTS

- > Revenue: tax + non-tax
- > Capital: liability or asset reduction
- > Debt vs non-debt capital receipt
- > Gross tax != net tax to Centre

5. EXPENDITURE

- > Revenue account: current services
- > Capital account: asset/liability change
- > Effective capex adds asset grants
- > Accounting label != social value

6. DEFICIT FORMULAS

-> $RD = \text{Rev Exp} - \text{Rev Receipts}$

-> $ERD = RD - \text{asset grants}$

-> $FD = \text{Total Exp} - \text{non-debt receipts}$

-> $PD = FD - \text{interest}$

7. VINTAGE CONTROL

-> FY24-25 Actuals

-> FY25-26 Revised Estimates

-> FY26-27 Budget Estimates

-> Publication date: 1 Feb 2026

8. FRBM

- > Section 3: four policy statements
- > Section 4: targets and escape
- > Section 5: RBI borrowing boundary
- > Sections 6-7: transparency and compliance

9. CURRENT PATH

-> FD: 4.4% RE -> 4.3% BE

-> Debt: 56.1% RE -> 55.6% BE

-> Aim: 50 +/-1% by FY2030-31

-> No next-two-year rolling targets in statement

10. HIDDEN RISK

- > EBR and fully serviced bonds
- > Guarantee stock vs annual addition
- > PSU debt needs case-specific perimeter
- > CGA accounts + CAG audit

11. MACRO TRANSMISSION

- > automatic vs discretionary
- > multiplier and leakages
- > crowding out vs crowding in
- > $r - g$ + primary balance -> debt dynamics

12. ANSWER SPINE

- > define and date
- > state formula and legal source
- > trace composition and transmission
- > qualify perimeter, vintage and risk